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The Case for Corporate Political Spending

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The U.S. Supreme Court's Jan. 21 decision in Citizens United v. Federal Election Commission struck down government prohibitions on the ability of corporations to spend money to support the election or defeat of a candidate. Dissenting from the court's opinion, Justice John Paul Stevens declared that the decision "undermines the integrity of electoral institutions around the nation." Some critics proclaimed it "the death of democracy." In response to the ruling, Sen. Chris Dodd (D., Conn.) announced plans this week to try to amend the Constitution to deal with the decision; Sen. Charles Schumer (D., N.Y.) and Rep. Chris Van Hollen (D., Md.) have proposed a package of changes aimed at placing such onerous and complex regulations on corporate spending that companies will be effectively unable to exercise what the court has held are constitutional rights.

Given the reaction, you can be forgiven if you did not know that even before the decision in Citizens United, 28 states, with 60% of the nation's population, already allowed corporations to make political expenditures in state elections, including Virginia, Oregon and Washington.

But isn't it true that Americans already spend too much on political campaigns? Well, the answer to that depends, of course, on what is "too much." In the two-year election cycle ending in Nov. 2008, campaign spending for all federal offices is estimated at approximately $5.3 billion. Is that too much?

The amount was just over one-third of what American spent on bottled water in 2007 alone; it is a bit more than one-quarter of what was spent on ice cream in 2008, and less than one-sixth of the $33 billion spent on weight-loss products in 2007. It was about 20% less than a single company, Procter & Gamble, spent on product advertising in the same period. And what about the Obama-McCain presidential race, the most expensive ever? The $2.4 billion spent on that race is close to what Verizon spent advertising its brand in 2008. Perhaps it simply costs more to explain to Americans the benefits of Verizon than the qualifications of candidates and their positions on complex political issues.

But political spending is higher than it used to be, right? Well, yes and no. In raw dollars, federal campaign spending rose by roughly 450% between 1988 and 2008. Adjusting the numbers for inflation, however, and we find that the growth drops to 141%; adjust for inflation and growth in GDP, the increase is just 23% over 20 years.

Campaign spending as a percentage of GDP remained essentially unchanged between the 1947 passage of the Taft-Hartley Act (the statute prohibiting all corporate spending in elections that was struck down in the Citizens United case) and 2008. In the cycle ending in Nov. 2008, spending on American election campaigns was equal to approximately 0.3% of GDP. By contrast, Indonesians spent over 1% of their GDP in election campaigns ending in April 2009. Nations that are much poorer than the U.S., such as Venezuela, have historically spent more money per capita on elections than we do.

But won't Citizens United open the floodgates to more corporate spending on elections? Again, the answer is yes

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